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Illustrative — For Discussion

GPU-Backed Credit

Illustrative Applications of CRI Rates in Credit Structures

March 2026

Profile	Profile A — Contracted Revenue Operator · Primary credit support: customer offtake agreements
Hypothetical Borrower	Hypothetical GPU Operator LLC — $200M Senior Secured
Collateral	8,000 × NVIDIA H100 SXM5 GPUs
Term	36 months · Quarterly financial covenants · Monthly collateral coverage certification
Reference Rate	CRI-H100 · ccir.io
Applications	Three covenants (§7.02, §7.04, §7.05) · Collateral Coverage, Generation Spread, Contract Premium Ratio
Status	Illustrative. All parameters set by counsel and lenders.

CCIR does not participate in or structure credit transactions referencing CRI rates, and does not provide advice regarding any such transaction. This document illustrates how CRI-H100 and related CCIR reference rates may be referenced in GPU-backed credit structures. All borrower details, rates, trigger levels, and covenant structures are hypothetical, illustrative, and entirely non-prescriptive. All parameters, thresholds, multiples, advance rates, and formula inputs shown are examples only — they are credit judgments determined by counsel and lenders, not by CCIR. CCIR does not recommend, endorse, or prescribe any particular covenant structure, trigger level, threshold, or enforcement mechanism. CCIR is a reference rate provider. This is not legal advice.

1. Why GPU Credit Agreements Need a Named Reference Rate

Contracted-revenue GPU facilities — where customer offtake agreements are the primary credit support and GPU hardware is backstop collateral — share three structural vulnerabilities that an independent named reference rate addresses directly.

Gap 1 — A Rate Defined by Either Party Creates Documentation Risk

When a covenant references rental rates, it typically relies on internal analyst estimates — numbers no counterparty can independently verify, and that every deal prices differently. A rate defined by the lender favors the lender. A rate defined by the borrower favors the borrower. Syndicated facilities need a rate all lenders can independently verify. Post-LIBOR, compliance functions have developed institutional resistance to reference rates that lack independent governance and published methodology.

The structural demand is familiar: SOFR replaced LIBOR for the same reason AVITAS aircraft appraisals became contractually required in EETCs. The independent named reference rate is what makes the covenant workable when a breach is in dispute. CRI-H100 is structured to meet that standard for GPU compute.

Gap 2 — Contract-to-Spot Spread Is the Key Renewal Risk Signal

H100 on-demand spot rates fell more than 60% over 18 months. Revenue covenants and borrowing base formulas that reference the live on-demand market need an independent, named rate to anchor those calculations — one both parties can verify independently.

A monthly borrowing base certificate that marks the GPU fleet to the current on-demand market gives the lender a collateral calculation that reflects current market conditions — not where a depreciation schedule assumed the hardware would be.

> **The Profile A distinction.** Profile A structures use CRI-H100 in two roles: (1) as the spot rate input in the §7.02 Collateral Coverage formula, marking the hardware backstop to current market conditions; and (2) as the denominator in the §7.05 Contract Premium Ratio, measuring the spread between the borrower's base contracted rate and the independent market rate. Both roles require an independent rate neither party controls. All thresholds, advance rates, and formula parameters are credit judgments set by counsel and lenders.

2. Three-Covenant Framework — Profile A

The following table summarizes three ways CRI-H100 may be cited in GPU-backed credit documentation. All parameters shown in the worked examples that follow are illustrative only.

Ref.	Application	How CRI-H100 Is Used	Parameters Set By Counsel / Lenders
A	§7.02 Collateral Coverage / LTV	Monthly mark of hardware backstop to current spot market — independent of contracted revenue	Capitalization Rate, Utilization Assumption, advance rate, Generation Convergence step-up
B	§7.04 Generation Spread	B200 premium over H100 — observable proxy for H100 training-tier obsolescence risk	Spread threshold for notice, cap rate step-up level, cure period
C	§7.05 Contract Premium Ratio	Denominator in Contract Premium Ratio — base contracted rate vs. independent spot market	Premium Schedule deductions (fixed at closing), notice thresholds, reserve requirement at parity

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Key asymmetry lenders should monitor. A declining CRI-H100 rate tightens §7.02 Collateral Coverage (the hardware backstop marks down against outstanding principal) while §7.05 Contract Premium Ratio typically improves (locked contracts hold above a falling spot floor). These two covenants move in opposite directions during a spot market decline — monitoring both simultaneously through the life of the facility is essential.

3. Illustrative Scenario Analysis

The following scenarios illustrate how each application responds to CRI-H100 movements. The assumed starting position: contracted revenue above market at closing; borrowing base comfortably covered at closing parameters. All threshold levels are illustrative — the behavioral logic is what matters, not the specific numbers.

Scenario	CRI-H100 vs. Closing	A — §7.02 Collateral Coverage	B — §7.04 Gen Spread	C — §7.05 Contract Premium Ratio
Baseline	At closing level	**PASS** Contracted revenue covers market	**OK** No decline from closing	**PASS** CPR comfortably above 1.10× at closing parameters
Moderate decline (inference pressure)	~20–30% below closing	**PASS** Locked contracts hold	**NOTICE** Borrower assessment triggered	**WATCH** CPR improving as spot falls below locked contracts; no notice triggered
Significant decline (training slowdown)	>35% below closing	**PASS** Locked contracts hold	**EVENT** Monthly calculation frequency	**PASS**
Spot rise (demand surge)	Above contracted rate	**IMPROVING** Spot rise above contracted rate widens CPR; no notice triggered	**OK** Rate above closing	**PASS** CPR continues to improve as spot rises further above contracted rate
Contract expiry + rate decline	>35% below closing	**BREACH** Revenue no longer covers market floor	**EVENT** Active	**BREACH** Contracts re-price into depressed market; CPR collapses toward or below 1.00×; Renewal Reserve or Advance Rate step-down triggered

Key observations:

Locked contracts decouple revenue coverage from spot rate movements — until they expire.
The defining Profile A asymmetry: a falling CRI-H100 rate tightens §7.02 Collateral Coverage (hardware marks down) while §7.05 Contract Premium Ratio typically improves (locked contracts hold above a falling spot floor). These two covenants move in opposite directions during a spot market decline. The inflection comes at contract renewal.

§7.04 Generation Spread is the forward technology risk signal.
A market price monitoring covenant increases surveillance frequency before a financial covenant event materializes. The first threshold surfaces information — borrower disclosure, market assessment, revenue forecast. The second threshold adds checkpoint frequency. Neither is itself an Event of Default. The value is in preserving lender optionality before deterioration has compounded.

§7.05 Contract Premium Ratio is the contract renewal risk surveillance tool.
The Contract Premium Ratio measures the spread between the borrower's base contracted rate (gross contracted rate less fixed Premium Schedule deductions) and CRI-H100. Notice at 1.10×; reserve or runway requirement at 1.00× parity; Advance Rate step-down in §7.02 if neither condition met.

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4. §7.02 — Collateral Coverage / LTV

The Collateral Coverage covenant marks the pledged GPU fleet to the current on-demand spot rental market using CRI-H100 — not the borrower's contracted price and not book depreciation. In a contracted-revenue structure, this covenant serves the hardware backstop function: even when the primary credit support is the offtake agreement, the lender holds GPUs at default. The formula: (Pledged GPUs) × (CRI-H100) × 8,760 hrs × 0.72 Utilization ÷ 0.28 Capitalization Rate. Cap rate steps to 35% on Generation Convergence Event.

4.1 Illustrative Covenant Language

> *SECTION 7.02 — COLLATERAL COVERAGE RATIO — Financial Covenant*
>
> *Borrower shall not permit the Collateral Coverage Ratio, as of any Calculation Date, to be less than 1.25 to 1.00 (maximum LTV 80%). [Threshold is a credit judgment set at underwriting.]. [The coverage multiple is a credit judgment set by counsel and lenders at underwriting based on the facility's risk profile, LTV cushion, and contract coverage. 2.50× is shown for illustrative purposes.]*
>
> *"Revenue Coverage Ratio" means, as of any Calculation Date, the ratio of (a) GPU Rental Revenue Per Pledged GPU for the most recently completed Calculation Period to (b) the Capped CRI-H100 Reference Rate.*
>
> *"Capped CRI-H100 Reference Rate" means, as of any Calculation Date, the lesser of (i) the CRI-H100 Reference Rate and (ii) the Rate Cap ($2.80/GPU/hr, a level set by counsel and lenders at underwriting, typically calibrated to the on-demand spot rate at the time the facility was sized — $2.80/GPU/hr is shown for illustrative purposes). For the avoidance of doubt, the Rate Cap applies solely to this Section.*
>
> *If CRI-H100 is not published on a Calculation Date, the most recently published rate within the prior 5 Business Days shall be used. If no publication is available within such period, the fallback provisions set forth in the credit agreement shall apply.*

4.2 How the Rate Is Used

CRI-H100 is the single variable input in the Collateral Coverage formula that changes each period. All other parameters are fixed at closing. Both parties can independently verify the ratio from the CCIR data repository without discretionary inputs. The key asymmetry for contracted-revenue lenders: a falling CRI-H100 rate tightens §7.02 (hardware marks down) while the §7.05 Contract Premium Ratio typically improves (locked contracts hold). Both must be monitored simultaneously.

> **On the Capitalization Rate.** The Capitalization Rate is the most negotiated variable at underwriting. A lower cap rate (20%) produces higher Collateral Value and more favorable LTV; a higher cap rate (35%) is more conservative. The Generation Convergence step-up to 35% applies only when spread compression signals technology obsolescence risk. CCIR's published rate history supports cap rate calibration — CCIR does not recommend specific levels.

> **On the three-curve framework for contracted-revenue lenders.** Three observable signals address the three valuation questions in contracted-revenue GPU lending. CRI-H100 noninterruptible (going-concern rental rate) anchors §7.02 Collateral Coverage. CRI-B200 generation spread (obsolescence velocity) drives the §7.04 cap rate step-up. The Contract Premium Ratio in §7.05 (base contracted rate over CRI-H100) measures renewal risk. Together these give the lender continuous visibility to going-concern value, obsolescence trajectory, and contract renewal exposure.

5. §7.04 — Generation Spread

The Generation Spread covenant monitors the premium that next-generation B200-grade compute commands over H100-grade compute in the on-demand spot market. When that spread compresses — B200 prices falling toward H100 levels — the training-tier value justifying H100 collateral valuations erodes. This covenant has no independent financial consequence: it does not require prepayment, and is not itself an Event of Default. Its function is to adjust the Capitalization Rate in §7.02 automatically when sustained spread compression confirms that erosion, without requiring an amendment.

Its value is in protecting the §7.02 collateral mark without requiring lender discretion: the cap rate step-up from 28% to 35% is automatic on a Generation Convergence Event, applies consistently across all lenders in a syndicated facility, and reverses automatically when the spread recovers. Both CRI-H100 and CRI-B200 are published daily by CCIR; no party controls the spread calculation.

5.1 Illustrative Covenant Language

> *SECTION 7.04 — GENERATION SPREAD — Surveillance Covenant*
>
> *"Generation Spread" means (CRI-B200 Reference Rate minus CRI-H100 Reference Rate) divided by CRI-H100 Reference Rate, expressed as a percentage. The Generation Spread measures the premium that next-generation B200-grade compute commands over H100-grade compute in the on-demand spot market.*
>
> *A "Generation Convergence Event" shall occur if the Generation Spread falls below twenty-five percent (25%) — the "Generation Spread Threshold" — for two (2) consecutive Calculation Dates, indicating material compression of the B200 premium and potential erosion of H100 training-tier status. [25% is illustrative — threshold is a credit judgment set at underwriting.]*
>
> *Upon occurrence of a Generation Convergence Event, the GPU Capitalization Rate in §7.02 shall increase from 28% to 35% for all subsequent Calculation Dates until the Generation Spread returns to or above the Generation Spread Threshold for two (2) consecutive Calculation Dates. [28%/35% are illustrative — rates are credit judgments set at underwriting.]*
>
> *CCIR publishes both CRI-H100 and CRI-B200 daily at computecreditindex.com. The Generation Spread Threshold and cap rate step-up mechanics are credit judgments set by counsel and lenders at underwriting. If CRI-B200 is not published on a Calculation Date, the most recently published rate within the prior 5 Business Days shall be used. If no publication is available within such period, the fallback provisions set forth in the credit agreement shall apply.*

5.2 How the Covenant Works

The Generation Spread is calculated from two independently published CCIR rates: CRI-B200 and CRI-H100, both available daily at computecreditindex.com. Neither party controls the spread; any counterparty can reproduce the calculation from the public data repository at any point in the life of the facility. The Generation Spread Threshold (25% in the illustrative covenant) and the cap rate step-up level (28% to 35%) are credit judgments set at underwriting — they are not determined by CCIR.

The two decline thresholds — notice trigger and frequency conversion trigger — are credit judgments. The correct levels depend on the facility's LTV cushion at origination, the term remaining, and the borrower's contract coverage ratio at closing. A facility with a larger LTV cushion and high contracted revenue coverage may warrant wider thresholds; a facility at higher LTV with significant spot exposure may warrant tighter ones.

> **On the Generation Spread threshold.** For contracted-revenue lenders, the generation spread threshold warrants particular attention relative to contract renewal timing. A Generation Convergence Event that occurs 6–12 months before a major contract renewal creates compound risk: the §7.02 cap rate step-up tightens the collateral backstop precisely when the borrower is negotiating renewal rates in a market where next-generation hardware has compressed the training-tier premium. CCIR publishes both CRI-H100 and CRI-B200 daily; threshold and step-up mechanics are credit judgments set at underwriting.

6. §7.05 — Contract Premium Ratio

The Contract Premium Ratio covenant monitors the spread between the borrower's base contracted rate and CRI-H100 — the independent on-demand spot rate. In a contracted-revenue structure, the primary credit support is the offtake agreement, not the hardware. The CPR measures whether that contract still provides meaningful coverage above the spot market floor. A CPR above 1.10× means the borrower's locked rate exceeds the market rate by at least 10%; as the CPR approaches 1.00×, the contracted revenue advantage narrows and contract renewal risk becomes the defining credit question.

The CPR is calculated each Calculation Date from the borrower's certified Base Contracted Rate and the independently published CRI-H100. The Base Contracted Rate uses fixed-dollar deductions agreed at closing — not variable estimates. This means both parties can independently verify the ratio without discretionary inputs from either side.

6.1 Illustrative Covenant Language

SECTION 7.05 — CONTRACT PREMIUM RATIO — Surveillance Covenant

"Base Contracted Rate" means the gross contracted rate per GPU per hour less the fixed-dollar deductions set forth in the Premium Schedule attached as Schedule [X], representing agreed deductions for cluster, SLA, networking, and other premium components agreed at closing. [Premium Schedule deductions are credit judgments agreed at closing.]

"Contract Premium Ratio" means, as of any Calculation Date, the Base Contracted Rate divided by the CRI-H100 Reference Rate.

If the Contract Premium Ratio falls below 1.10 as of any Calculation Date (a "CPR Notice Event"), Borrower shall deliver written notice to the Administrative Agent within 10 Business Days including: (i) current contracted rate and remaining contract term by customer; (ii) Borrower's assessment of renewal prospects and market conditions; and (iii) projected revenue for the next two Calculation Periods. [1.10× is illustrative — threshold is a credit judgment set at underwriting.]

If the Contract Premium Ratio falls below 1.00 as of any Calculation Date (a "CPR Parity Event"), Borrower shall within 30 days: (i) deposit a Renewal Reserve in an amount equal to [X]% of outstanding principal; or (ii) demonstrate contractual revenue runway of not less than [X] months at rates exceeding CRI-H100. [Reserve amount and runway period are credit judgments set at underwriting.]

If Borrower fails to satisfy either condition within the cure period, the Advance Rate in §7.02 shall step down to [X]% until the Contract Premium Ratio returns above 1.10 for two consecutive Calculation Dates. [Advance rate step-down level is a credit judgment set at underwriting.]

If CRI-H100 is not published on a Calculation Date, the most recently published rate within the prior 5 Business Days shall be used. If no publication is available within such period, the fallback provisions set forth in the credit agreement shall apply.

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6.2 How the Covenant Works

CRI-H100 is the single variable input in the Contract Premium Ratio that changes each period. The Base Contracted Rate is fixed at closing via the Premium Schedule and does not change unless the borrower renegotiates its contracts. This means both parties can independently verify the CPR from the CCIR data repository at any Calculation Date without discretionary inputs from either party.

The Premium Schedule deductions are the most important drafting element for §7.05. They determine the Base Contracted Rate that sits in the CPR numerator. Deductions that are too aggressive understate the CPR and create false comfort; deductions that are too narrow overstate it and may produce spurious notice events. All deduction amounts are credit judgments set by counsel and lenders at closing — CCIR publishes only the denominator.

> **On the premium decomposition and Base Contracted Rate.** The Base Contracted Rate uses fixed-dollar deductions agreed at closing. A borrower with a gross contracted rate of $3.80/hr against CRI-H100 at $2.18/hr shows a gross ratio of 1.74×. If the Premium Schedule attributes $0.90/hr to cluster, SLA, and networking, the Base Contracted Rate is $2.90/hr and the Contract Premium Ratio is 1.33× — meaningfully closer to the notice trigger than the gross ratio suggests. The Premium Schedule is the most important drafting step for §7.05; all deduction amounts are credit judgments set at closing.

7. Why a Named Reference Rate

All three applications above reference CRI-H100 as the on-demand spot rate. The structural reasons are the same across all three:

Neutrality. A rate defined by the lender favors the lender. A rate defined by the borrower favors the borrower. A named independent reference rate removes that asymmetry — the same structural demand that produced SOFR after LIBOR and AVITAS appraisals in aircraft EETCs.

Independent verifiability. Syndicated facilities require a rate all lenders can independently verify. A proprietary methodology held by one party cannot serve as the reference for a multi-lender facility. Any dispute about the rate — in a workout, at a transfer, or on a calculation date when lenders disagree — requires a source both sides can check independently.

Post-LIBOR governance standard. Bank compliance functions have developed institutional resistance to benchmark risk. A rate published by a party with a financial interest in the GPU market it measures creates documentation risk that is increasingly difficult to clear internal approvals. CRI-H100 is published by Compute Credit Index Research LLC, which holds no position in the GPU compute market it measures. The methodology is published and the rate is reproducible by any party with access to the underlying sources. Under UCC §9-627, a commercially reasonable collateral disposition requires a rate that meets the “price current in any recognized market” standard; a named independent rate cited in the credit agreement and embedded in the covenant formulas provides that reference.

8. Profile A Certificate

CCIR also publishes CRI-B200 daily. The Generation Spread — (CRI-B200 minus CRI-H100) divided by CRI-H100 — is an observable proxy for H100 collateral obsolescence risk. A wide spread reflects B200 priced above H100 in the on-demand market. Spread compression — B200 prices falling toward H100 levels — reduces the price incentive to choose H100 over next-generation hardware.

A surveillance covenant may cite the Generation Spread as a trigger for borrower notice and market assessment, without making the spread itself a financial trigger. The spread threshold that warrants notice, and whether any subsequent adjustment to borrowing base parameters is warranted, are credit judgments determined by counsel and lenders. CCIR publishes both rates daily; how the spread is used in credit documentation is determined by the parties to the agreement.

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Note on spread interpretation. For Profile B mixed-book structures using monthly borrowing base certification, see the CCIR Profile B Covenant Framework and companion Borrowing Base Certificate (Exhibit F) at computecreditindex.com.

10. CCIR Rate Reference Support

Structured finance counsel and credit analysts working on Profile A contracted-revenue GPU-backed facilities with questions about CRI rate methodology, the Contract Premium Ratio design, Premium Schedule construction, index definitions, or fallback provisions may contact CCIR at research@ccir.io. For Profile B mixed-book structures, see the CCIR Profile B Covenant Framework. CCIR will respond to written inquiries within 10 business days.

CCIR does not provide legal advice, does not review or approve credit agreement language, does not recommend covenant thresholds or formula parameters, and does not advise on the regulatory treatment of CRI rate references in any jurisdiction. All parameters, thresholds, and formula inputs in credit agreements referencing CRI rates are determined solely by counsel and lenders.

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